

China Bubble & Brew

Franchisee Temperature Check: Expert Call Takeaways

We hosted an expert call on 27 July to assess the latest competitive dynamics. The speaker operates 49 Luckin Coffee stores, three Chagee stores, and two Mixue stores across Hebei, Henan, Shaanxi, Inner Mongolia, and Anhui. He noted that headwinds from the unwinding of third-party delivery subsidies and intensified competition are weighing on store-level execution. On the positive side, we see signs of ASP and gross margin recovery at Luckin, and a stabilization in performance at Chagee. Key takeaways from the call are summarized below. Please refer to our [1H26 sector preview note](#) for our latest views.

Luckin: leading position intact; ASP and gross margin recovering

- **SSS remains under pressure, while ASP is rebounding.** The expert indicated that most of his 49 Luckin stores recorded YTD GMV declines of 10–15% YoY, driven primarily by softer demand and intensifying competition from both new Luckin stores and peers. Cup volume has declined, but ASP has improved due to (1) a reduction in RMB 9.9 promotions, (2) higher pricing on delivery platforms, and (3) increased premiumization via new product launches. Delivery mix has largely stabilized at ~50% (vs. as high as ~80% during the subsidy war last year). Further normalization may be limited given increasingly entrenched consumer delivery habits.
- **Store-level gross margin has improved; higher labor costs limit net margin expansion.** Store-level gross margin has recovered to ~35% in 2Q26 (vs. a wide range of ~28–45% during last year's delivery war). However, higher staffing needs, rising social insurance costs, greater product complexity, and higher wastage are offsetting much of the benefit. The expert estimates incremental labor costs at ~RMB 4–5k per store per month (i.e., RMB 60–70k annually), implying a potential ~1–2ppt drag on net margin. He believes the payback period for a neighborhood store with ~300 cups/day is now ~3 years or longer.
- **Non-coffee beverages are becoming a meaningful growth lever, but raise operational complexity.** Non-coffee products accounted for ~30% of total GMV YTD and could rise to 40–50% longer term as Luckin's network densifies and penetration increases in lower-tier cities. Franchisees are less enthusiastic given heavier fresh-fruit usage and higher labor intensity, which increases operational complexity.
- **Premiumization supports ASP, but SKU proliferation creates trade-offs.** Luckin offers more customization options and premium coffee bean selections, enabling price-insensitive consumers to trade up and lift average ticket size. However, a broader SKU portfolio also increases inventory losses, wastage, and execution pressure at the store level.
- **Competitive lead remains intact vs. other coffee and milk tea brands.** The expert attributes Luckin's advantage over Cotti primarily to a more professionalized franchise development and management system. While more milk tea brands are entering the freshly made coffee market, he views Luckin's continued product iteration and brand strengthening as key differentiators.

Consumer

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Preview: Tea brands hit the
brakes, Luckin hits the gas ([link](#))

Chagee: SSS decline is stabilizing, but franchisee unit economics remain the key issue

- **Performance is stabilizing; gelato remains early-stage.** The expert observed that Chagee's recent GMV declines have stabilized, supported by more frequent new product launches and slower store expansion. The newly introduced gelato business is still nascent in Hebei/Tianjin (seven stores launched), and the ~RMB 150k capex per store is viewed as high by franchisees.
- **Store economics are highly seasonal; take rate pressures franchisee returns.** Monthly GMV is expected to exceed RMB 400k in July (peak season), supporting ~15–16% store-level margin, but can fall to RMB 200k-300k range in off-peak periods, with margins declining to ~8–9%. The expert believes the new take rate is still too high and can be further optimized toward a tiered profit-sharing mechanism.

Mixue: Coffee push appears defensive amid Lucky Cup profitability challenges

- **Mixue's coffee strategy appears defensive; Lucky Cup economics are under pressure.** The expert's Mixue stores have not installed coffee machines given their lower-tier locations. He believes Mixue's push to equip stores with coffee machines is partly driven by weak Lucky Cup economics, with ~70% of Lucky Cup franchisees loss-making. He also noted limited consumer willingness to trade down: many consumers would rather pay an additional RMB 2–3 for Luckin than purchase lower-priced Lucky Cup coffee.

Companies Discussed in This Report (all prices in this report as of market close on 24 July 2026, unless otherwise indicated)
Chagee(CHA/\$11.20/OW), Luckin Coffee(LKNCY/\$32.63/OW), Mixue Group - H(2097.HK/HK\$212.60[27 July 2026]/UW)

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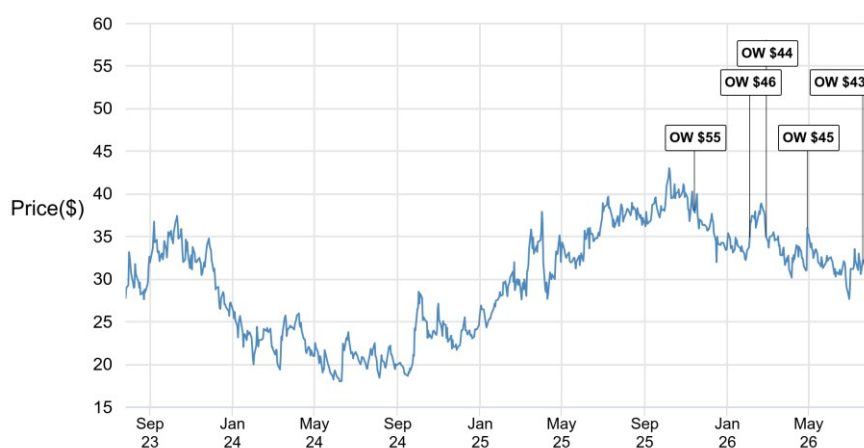
Chagee (CHA, CHA US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
14-Nov-25	UW	15.32	14.2
01-Dec-25	UW	14.99	12.4
13-Feb-26	N	10.20	11.5
02-Apr-26	OW	9.16	16
29-May-26	OW	10.16	15
21-Jul-26	OW	11.58	16.5

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Nov 13, 2025. All share prices are as of market close on the previous business day.

Luckin Coffee (LKNCY, LKNCY US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
14-Nov-25	OW	38.08	55
04-Feb-26	OW	34.89	46
28-Feb-26	OW	34.98	44
30-Apr-26	OW	36.00	45
21-Jul-26	OW	32.05	43

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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Mixue Group - H (2097.HK, 2097 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
14-Nov-25	OW	417.80	521
26-Mar-26	UW	322.00	270
21-Jul-26	UW	222.60	200

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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